INTRODUCTION

From an investment perspective, it is important for global investors to understand existing trade policies. Such policies can affect the volume and value of trade and thus can affect the return on investment. Investors need to be aware of potential changes in the government's trade policy. Such changes have important implications for firm profitability and growth by affecting the demand for its products and its pricing. There has been much debate among economists on the role of trade and trade policy and its impact on the overall economy. This learning module examines the benefits and cost of international trade. It then describes trade restrictions and their implications and discusses the motivation for, and advantages of, the different types of trading blocs or trade agreements.

Learning Module Overview

- The most compelling arguments supporting international trade are:
  - countries gain from exchange and specialization,
  - industries experience greater economies of scale,
  - households and firms have greater product variety,
  - competition is increased, and
  - resources are allocated more efficiently.
- Newer models of trade focus on the gains from trade that result from economies of scale, greater product variety, and increased competition.
- Opponents of free trade point to the potential for greater income inequality and the loss of jobs in developed market countries as a result of import competition.
- The fact that trade increases overall welfare does not mean that every individual consumer and producer is better off. What it does mean is that the winners could, in theory, compensate the losers and still be better off.
- Trade restrictions (or trade protection) are government policies that limit the ability of domestic households and firms to trade freely with other countries.
- Tariffs are taxes that a government levies on imported goods. The primary objective of tariffs is to protect domestic industries that produce the same or similar goods. They also may aim to reduce a trade deficit.
- The net welfare effect of tariffs is the sum of consumer surplus, producer surplus and government tax revenue. The loss in consumer surplus is greater than the sum of the gain in producer surplus and government revenue and results in a deadweight loss to the country's welfare.
- A quota restricts the quantity of a good that can be imported into a country, generally for a specified period of time. A voluntary export restraint (VER) is a trade barrier under which the exporting country agrees to limit its exports of the good to its trading partners to a specific number of units.
- An export subsidy is a payment by the government to a firm for each unit of a good that is exported. Its goal is to stimulate exports.
- A regional trading bloc is a group of countries that have signed an agreement to reduce and progressively eliminate barriers to trade and the movement of factors of production among the members of the bloc.
- There are many different types of regional trading blocs, depending on the level of integration that takes place. These include free trade areas, customs union, common market, and economic union.
- Trade creation occurs when regional integration results in the replacement of higher-cost domestic production by lower-cost imports from other members. Trade diversion occurs when lower-cost imports from non-member countries are replaced with higher-cost imports from members.

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